

EQUITY: TECHNOLOGY

New LTA arrived earlier than anticipated

GWC's new 10-year LTA with Micron could cause semi wafer prices to potentially grow meaningfully

Maintain Buy on GWC with a new TP of TWD1,800; LTA implies upcycle is underway

On 9 July, Micron (MU US, Not rated) and GlobalWafers (GWC) announced that Micron would provide GWC with a USD500mn prepayment to secure the supply of 12" semi wafers under a 10-year agreement (LTA). This LTA announcement came sooner than we anticipated, which in our view implies that: 1) memory companies have ample cash to secure upstream supply early; and 2) supply-demand dynamics could turn more favorable. As a result, we raise our 2026-28F earnings forecasts for GWC by 7-99%, and increase our TP to TWD1,800 (from TWD1,200), based on 6x 2028F BVPS of TWD300 (vs 4.8x 2028F BVPS of TWD252 previously). The stock is trading at 2.6x 2028F BVPS of TWD300. Historically, taking the 2H16-1H18 semi wafer upcycle as an example, LTAs were first negotiated from 1H27, implying the upcycle was underway, and the upcycle would not end until end demand weakened.

LTA pricing for semi wafers with memory customers could potentially double

We believe that LTA pricing for semi wafers supplied to memory customers could potentially double, as memory wafer price can reach tens of thousands of USD per piece, with semi wafers now only accounting for less than 1% of the memory wafer price vs 3-5% two years ago. However, in the case of the 10-year GWC-Micron LTA, considering the long contract period, we believe there is room for pricing and product spec mix to be adjusted over time. That said, if price hikes are implemented quickly/gradually over the contract period, GWC's earnings could recover sharply/steadily in the coming years.

Semi inflation is accelerating; GWC's customer base is optimizing

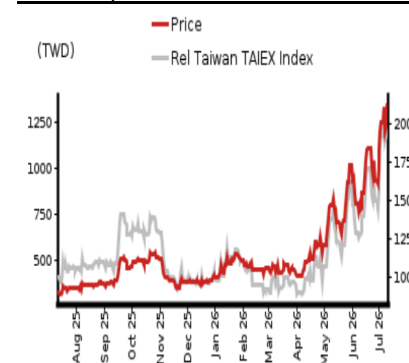
We believe this move of Micron could encourage other leading semi manufacturers with ample cash and strong demand from end customers to secure future strategic resources as capacity expansion is becoming increasingly critical – the earlier the spending, the lower the cost. As a result, this semi inflation trend is likely occurring across the entire semi supply chain. For GWC, this 10-year LTA has broken its previous 8-year LTA record and could help strengthen its customer base, as GWC's major memory customer has historically been Samsung (005930 KS, Buy), but Micron's engagement is likely also increasing. Possibly, other US semi companies such as Intel (INTC US, Not rated), TI (TXN US, Not rated), and GlobalFoundries (GFS US, Not rated) could engage more closely with GWC.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (TWD)	Actual	Old	New	Old	New	Old	New	
Revenue (mn)	60,598	61,726	62,931	73,535	83,063	88,666	113,936	
Reported net profit (mn)	7,311	11,633	12,485	12,082	18,986	19,163	38,064	
Normalised net profit (mn)	7,311	11,633	12,485	12,082	18,986	19,163	38,064	
FD normalised EPS	15.36	24.33	26.11	25.27	39.71	40.08	79.61	
FD norm. EPS growth (%)	-29.8	58.4	70.0	3.9	52.1	58.6	100.5	
FD normalised P/E (x)	87.9	–	51.7	–	34.0	–	17.0	
EV/EBITDA (x)	47.0	–	46.3	–	23.6	–	12.2	
Price/book (x)	6.9	–	6.4	–	5.7	–	4.5	
Dividend yield (%)	0.5	–	0.9	–	1.3	–	1.7	
ROE (%)	7.9	12.0	12.9	11.7	17.7	16.9	29.6	
Net debt/equity (%)	7.1	net cash	net cash	net cash	net cash	net cash	net cash	

Source: Company data, Nomura estimates

Rating Remains	Buy
Target price Increased from TWD 1,200.00	TWD 1,800.00
Closing price 9 July 2026	TWD 1,350.00
Implied upside	+33.3%
Market Cap (USD mn)	20,085.7
ADT (USD mn)	193.3

Relative performance chart



Source: LSEG, Nomura

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Key data on GlobalWafers

Performance

(%)	1M	3M	12M		
Absolute (TWD)	68.1	201.7	339.0	M cap (USDmn)	20,085.7
Absolute (USD)	64.8	198.4	297.7	Free float (%)	27.5
Rel to Taiwan	66.7	171.6	237.7	3-mth ADT (USDmn)	193.3
TAIEX Index					

Income statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	62,626	60,598	62,931	83,063	113,936
Cost of goods sold	-42,823	-45,974	-48,565	-54,686	-60,324
Gross profit	19,804	14,624	14,366	28,377	53,612
SG&A	-3,365	-3,770	-4,063	-4,984	-6,449
Employee share expense	-2,320	-2,218	-2,149	-2,741	-3,638
Operating profit	14,119	8,636	8,154	20,652	43,525
EBITDA	18,987	13,797	13,676	26,511	49,599
Depreciation	-4,829	-5,120	-5,478	-5,812	-6,026
Amortisation	-39	-41	-44	-47	-48
EBIT	14,119	8,636	8,154	20,652	43,525
Net interest expense	2,489	1,124	3,388	3,690	5,275
Associates & JCEs	186	85	15	0	0
Other income	-4,364	-329	4,365	0	0
Earnings before tax	12,429	9,516	15,922	24,342	48,800
Income tax	-2,590	-2,205	-3,437	-5,355	-10,736
Net profit after tax	9,840	7,311	12,485	18,987	38,064
Minority interests	7	0	0	0	0
Other items	0	0	0	0	0
Preferred dividends	0	0	0	0	0
Normalised NPAT	9,847	7,311	12,485	18,986	38,064
Extraordinary items	0	0	0	0	0
Reported NPAT	9,847	7,311	12,485	18,986	38,064
Dividends	-5,259	-3,290	-5,618	-8,544	-11,107
Transfer to reserves	4,588	4,021	6,867	10,443	26,956

Valuations and ratios

Reported P/E (x)	61.0	87.9	51.7	34.0	17.0
Normalised P/E (x)	61.0	87.9	51.7	34.0	17.0
FD normalised P/E (x)	61.6	87.9	51.7	34.0	17.0
Dividend yield (%)	0.8	0.5	0.9	1.3	1.7
Price/cashflow (x)	23.4	—	13.9	30.6	16.7
Price/book (x)	7.1	6.9	6.4	5.7	4.5
EV/EBITDA (x)	33.6	47.0	46.3	23.6	12.2
EV/EBIT (x)	45.0	74.8	77.6	30.3	13.9
Gross margin (%)	31.6	24.1	22.8	34.2	47.1
EBITDA margin (%)	30.3	22.8	21.7	31.9	43.5
EBIT margin (%)	22.5	14.3	13.0	24.9	38.2
Net margin (%)	15.7	12.1	19.8	22.9	33.4
Effective tax rate (%)	20.8	23.2	21.6	22.0	22.0
Dividend payout (%)	53.4	45.0	45.0	45.0	29.2
ROE (%)	12.5	7.9	12.9	17.7	29.6
ROA (pretax %)	8.2	4.5	4.2	10.8	21.8

Growth (%)

Revenue	-11.4	-3.2	3.8	32.0	37.2
EBITDA	-24.0	-27.3	-0.9	93.9	87.1
Normalised EPS	-51.8	-30.6	70.0	52.1	100.5
Normalised FDEPS	-51.8	-29.8	70.0	52.1	100.5

Source: Company data, Nomura estimates

Cashflow statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	18,987	13,797	13,676	26,511	49,599
Change in working capital	11,289	-28,021	28,325	-3,759	-5,450
Other operating cashflow	-4,298	-1,297	4,332	-1,666	-5,461
Cashflow from operations	25,978	-15,520	46,334	21,086	38,688
Capital expenditure	-48,319	-33,130	-25,033	-20,956	-17,398
Free cashflow	-22,342	-48,650	21,301	130	21,290
Reduction in investments	-6,052	498	-127	0	0
Net acquisitions	0	0	0	0	0
Dec in other LT assets	4,302	39,845	14,538	13,418	8,679
Inc in other LT liabilities	0	0	0	0	0
Adjustments	0	0	0	0	0
CF after investing acts	-24,092	-8,307	35,711	13,548	29,969
Cash dividends	-8,748	-5,259	-3,290	-5,618	-8,544
Equity issue	0	0	0	0	0
Debt issue	9,776	-11,511	-7,141	0	0
Convertible debt issue	0	0	0	0	0
Others	35,829	5,632	-14,495	0	0
CF from financial acts	36,857	-11,139	-24,927	-5,618	-8,544
Net cashflow	12,765	-19,445	10,784	7,930	21,425
Beginning cash	26,165	38,929	19,484	30,268	38,198
Ending cash	38,929	19,484	30,268	38,198	59,623
Ending net debt	-1,282	6,652	-11,273	-19,203	-40,628

Balance sheet (TWDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	38,929	19,484	30,268	38,198	59,623
Marketable securities	29	1	0	0	0
Accounts receivable	10,265	10,113	10,066	13,558	18,751
Inventories	11,238	10,399	10,148	11,090	12,114
Other current assets	20,030	46,632	31,636	31,636	31,636
Total current assets	80,492	86,629	82,118	94,481	122,123
LT investments	7,445	6,947	7,074	7,074	7,074
Fixed assets	119,074	107,241	111,560	113,239	115,885
Goodwill	0	0	0	0	0
Other intangible assets	0	0	0	0	0
Other LT assets	17,570	17,525	18,179	18,179	18,179
Total assets	224,581	218,343	218,932	232,975	263,261
Short-term debt	27,117	18,571	14,252	14,252	14,252
Accounts payable	5,371	4,161	4,464	5,138	5,905
Other current liabilities	32,577	31,377	44,105	44,105	44,105
Total current liabilities	65,065	54,109	62,821	63,495	64,262
Long-term debt	10,531	7,565	4,743	4,743	4,743
Convertible debt	0	0	0	0	0
Other LT liabilities	57,958	63,374	50,690	50,690	50,690
Total liabilities	133,553	125,048	118,254	118,929	119,695
Minority interest	-3	-3	-4	-4	-4
Preferred stock	0	0	0	0	0
Common stock	4,781	4,781	4,781	4,781	4,781
Retained earnings	31,640	37,451	41,592	52,035	78,991
Proposed dividends	5,259	3,290	5,618	8,544	11,107
Other equity and reserves	49,350	47,776	48,690	48,690	48,690
Total shareholders' equity	91,030	93,298	100,681	114,049	143,569
Total equity & liabilities	224,580	218,342	218,932	232,975	263,261

Liquidity (x)

Current ratio	1.24	1.60	1.31	1.49	1.90
Interest cover	—	—	—	—	—

Leverage

Net debt/EBITDA (x)	net cash	0.48	net cash	net cash	net cash
Net debt/equity (%)	net cash	7.1	net cash	net cash	net cash

Per share

Reported EPS (TWD)	22.14	15.36	26.11	39.71	79.61
Norm EPS (TWD)	22.14	15.36	26.11	39.71	79.61
FD norm EPS (TWD)	21.90	15.36	26.11	39.71	79.61
BVPS (TWD)	190.39	195.14	210.58	238.54	300.28
DPS (TWD)	11.00	6.88	11.75	17.87	23.23

Activity (days)

Days receivable	59.4	61.4	58.5	51.9	51.9
Days inventory	87.8	85.9	77.2	70.9	70.4
Days payable	44.3	37.8	32.4	32.0	33.5
Cash cycle	102.9	109.4	103.3	90.7	88.8

Source: Company data, Nomura estimates

Company profile

GlobalWafers is the world's third-largest and largest non-Japanese wafer manufacturer that specializing in 3" to 12" silicon wafer manufacturing, possessing a complete production line from ingot growth, slicing, etching, diffusion, polishing and epitaxy.

Valuation Methodology

Our TP of TWD1800 is based on 6x 2028F BVPS TWD300. The 6x P/B is based on the high-end of 2-6x P/B range during the full Semi wafer cycle in 2017-2020. The benchmark index is TAIEX.

Risks that may impede the achievement of the target price

Downside risks include: • Faster-than-expected entry of China into the 12" semi wafer market. • Slower-than-expected of market consolidation. • Worse-than-expected end-demand for the semi industry. • Less favorable demand/supply dynamics in the semi wafer industry. • Less favorable FX volatility and rising material/utility costs.

ESG

In response to global climate change and latest development trends in corporate social responsibilities (CSR), GlobalWafers has taken the initiative to compile a CSR report. Based on long-term in-depth interactions with local communities and engagement with stakeholders, GlobalWafers discloses in the report relevant information on material issues regarding the four aspects of corporate governance, economy, environment, and society, as well as execution & improvement results, in addition to presenting the the future vision and goals in terms of sustainable development.

Earnings forecast revisions

We revise up our 2026-28F earnings forecasts by 7-99%. We expect a moderate revenue recovery in 2026F, but believe revenues will accelerate from 2H26F onward, as well as a more favorable supply-demand environment in 2027-28F. YTD 2026, GWC has also recognized meaningful non-operating gains from its investment in Siltronic (WAF GR, Not rated) due to the sharp rise in Siltronic's share price. We have not yet factored any Siltronic share price impact into our forecasts from 2H26F onward.

In the near term, we believe GWC's profitability is still under pressure due to rising depreciation costs from new capacity expansion, but as market demand continues to grow, we believe price hike potential is also likely to increase.

Fig. 1: GWC: earnings estimate revisions

(TWD mn)	2026F			2027F			2028F		
	Previous	Revised	Change (%; pp)	Previous	Revised	Change (%; pp)	Previous	Revised	Change (%; pp)
Net Sales	61,726	62,931	2.0	73,535	83,063	13.0	88,666	113,936	28.5
Gross profit	13,162	14,366	9.2	18,850	28,377	50.5	28,342	53,612	89.2
Operating income	7,065	8,154	15.4	12,011	20,652	71.9	20,485	43,525	112.5
Pretax income	14,831	15,922	7.4	15,490	24,342	57.1	24,568	48,800	98.6
Net income	11,633	12,485	7.3	12,082	18,986	57.1	19,163	38,064	98.6
EPS	24.3	26.1	7.3	25.3	39.7	57.1	40.1	79.6	98.6
Gross Margin %	21.3	22.8	1.5	25.6	34.2	8.5	32.0	47.1	15.1
Operating Margin %	11.4	13.0	1.5	16.3	24.9	8.5	23.1	38.2	15.1
Net Margin %	18.8	19.8	1.0	16.4	22.9	6.4	21.6	33.4	11.8

Source: Nomura estimates

Fig. 2: GWC: P&L

(TWDmn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	2025	2026F	2027F	2028F
Net Sales	15,595	16,008	14,493	14,502	13,985	15,396	16,137	17,414	60,598	62,931	83,063	113,936
Gross profit	4,112	4,123	2,662	3,726	2,914	3,208	3,732	4,512	14,624	14,366	28,377	53,612
Operating income	2,589	2,438	1,230	2,379	1,475	1,669	2,135	2,875	8,636	8,154	20,652	43,525
Pretax income	2,133	2,289	2,187	2,907	2,347	6,445	3,247	3,884	9,516	15,922	24,342	48,800
Net income	1,456	1,682	1,969	2,205	1,896	5,027	2,532	3,029	7,312	12,485	18,986	38,064
Profitability												
Gross Margin	26.4%	25.8%	18.4%	25.7%	20.8%	20.8%	23.1%	25.9%	24.1%	22.8%	34.2%	47.1%
Operating Margin	16.6%	15.2%	8.5%	16.4%	10.5%	10.8%	13.2%	16.5%	14.3%	13.0%	24.9%	38.2%
Pretax Margin	13.7%	14.3%	15.1%	20.0%	16.8%	41.9%	20.1%	22.3%	15.7%	25.3%	29.3%	42.8%
Net Margin	9.3%	10.5%	13.6%	15.2%	13.6%	32.7%	15.7%	17.4%	12.1%	19.8%	22.9%	33.4%
EPS	3.11	3.52	4.12	4.61	3.97	10.52	5.30	6.34	15.36	26.11	39.71	79.61
Growth (QoQ)												
Net Sales	-4.6%	2.7%	-9.5%	0.1%	-3.6%	10.1%	4.8%	7.9%				
Gross profit	-16.4%	0.3%	-35.4%	40.0%	-21.8%	10.1%	16.3%	20.9%				
Op income	-27.8%	-5.8%	-49.6%	93.5%	-38.0%	13.1%	27.9%	34.7%				
Pretax income	168.0%	7.3%	-4.4%	32.9%	-19.3%	174.7%	-49.6%	19.6%				
Net income	204.2%	15.5%	17.1%	12.0%	-14.0%	165.2%	-49.6%	19.6%				
Growth (YoY)												
Net Sales	3.4%	4.5%	-8.7%	-11.3%	-10.3%	-3.8%	11.3%	20.1%	-3.2%	3.8%	32.0%	37.2%
Gross profit	-20.4%	-16.7%	-44.2%	-24.2%	-29.1%	-22.2%	40.2%	21.1%	-26.2%	-1.8%	97.5%	88.9%
Op income	-34.7%	-27.6%	-61.6%	-33.6%	-43.0%	-31.6%	73.6%	20.8%	-38.8%	-5.6%	153.3%	110.8%
Pretax income	-53.2%	-35.2%	-38.3%	265.2%	10.0%	181.6%	48.4%	33.6%	-23.4%	67.3%	52.9%	100.5%
Net income	-58.8%	-41.6%	-33.3%	360.5%	30.2%	198.9%	28.6%	37.4%	-25.7%	70.7%	52.1%	100.5%

Source: Company data, Nomura estimates

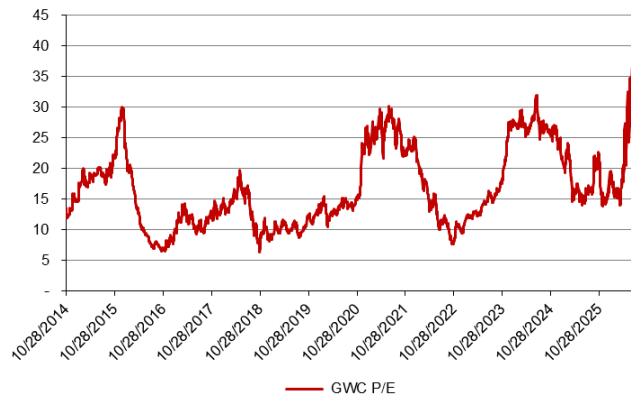
Valuation methodology and risks

Our new TP of TWD1,800 is based on 6x 2028F BVPS of TWD300. The 6x target multiple is at the high-end of the historical P/B range of 2-6x during the full semi wafer cycle in 2017-20.

Downside risks include:

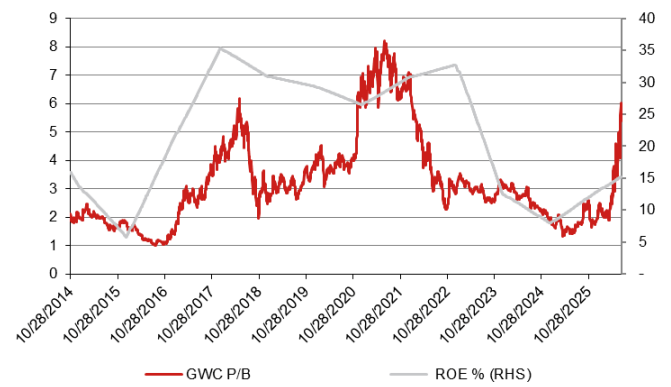
- Faster-than-expected entry of China into the 12" semi wafer market.
- Slower-than-expected of market consolidation.
- Worse-than-expected end-demand for the semi industry.
- Less favorable demand/supply dynamics in the semi wafer industry.
- Less favorable FX volatility and rising material/utility costs.

Fig. 3: GWC: P/E



Source: Company data, Nomura estimates

Fig. 4: GWC: P/B



Source: Company data, Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.
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We, Donnie Teng and Aaron Jeng, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

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Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
GlobalWafers	6488 TT	TWD 1,350.00	09-Jul-2026	Buy	N/A	A6

A6 The Nomura Group expects to receive or intends to seek compensation for investment banking services from the subject company in the next three months.

GlobalWafers (6488 TT)

TWD 1,350.00 (09-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD1800 is based on 6x 2028F BVPS TWD300. The 6x P/B is based on the high-end of 2-6x P/B range during the full Semi wafer cycle in 2017-2020. The benchmark index is TAIEX.

Risks that may impede the achievement of the target price Downside risks include: • Faster-than-expected entry of China into the 12" semi wafer market. • Slower-than-expected of market consolidation. • Worse-than-expected end-demand for the semi industry. • Less favorable demand/supply dynamics in the semi wafer industry. • Less favorable FX volatility and rising material/utility costs.

Important Disclosures

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Nomura Group research is available on www.nomuranow.com/research, Bloomberg, Capital IQ, Factset, LSEG.

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As at 30 June 2026.

*The Nomura Group as defined in the Disclaimer section at the end of this report.

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MediaTek (2454 TT)

Share price (9 Jul): TWD3,925.00

12-mth rating: **Hold (3)**

Information Technology: Taiwan

2Q26 topline beat likely on earlier-than-expected AI ASIC ramp

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Summary: MediaTek (MTK) reported June revenue which resulted in its 2Q26 topline beating market expectations thanks to an earlier-than-expected AI ASIC ramp, in our opinion. While this means upside risk to our forecasts, we flag our Hold (3) rating on the stock as the equity market looks to have priced in its AI ASIC strength too far ahead of its fundamentals. MTK is scheduled to report 2Q26 results by end-July; we will be reviewing our model in due course.

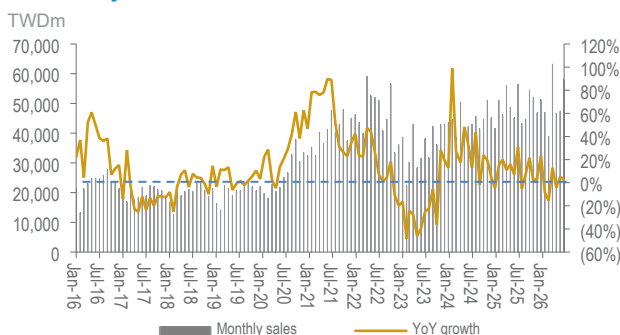
Highlight

- **Upbeat revenue run rate.** MTK released June revenue of TWD58bn, up 22% MoM and 3% YoY, which closed its 2Q26 topline at TWD152bn, up 2% QoQ (+1% YoY) and beating guidance of TWD140-149bn and 5% above our/consensus estimates of TWD145bn. We attribute the beat to an earlier-than-expected AI ASIC ramp.
- **Preview and outlook.** We currently expect MTK to have earned TWD23bn in net profit for 2Q26, 5% above the consensus estimate; given the upbeat topline, we see upside risk to our estimate. As for 3Q26, we currently forecast MTK to grow revenue by 10% QoQ to TWD168bn, 12% above the consensus forecast; we are comfortable with our forecast given the earlier-than-expected AI ASIC ramp. MTK is scheduled to report 2Q26 results by end-July; we will be reviewing our model in due course.

Recommendation

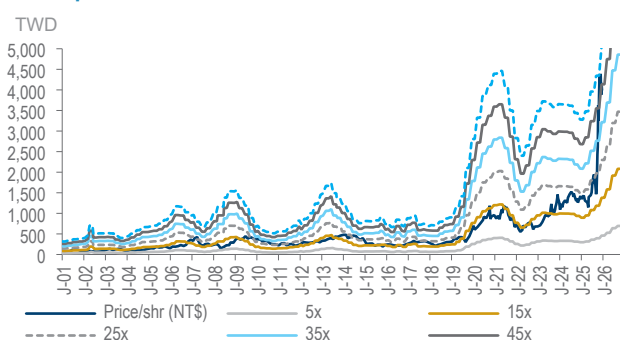
We rate MTK Hold (3). The stock has corrected 21% off its all-time high of TWD4,970 on 2 June, resetting market expectation on the AI ASIC hype back to reality and gradually justifying its fundamentals, in our opinion. Key upside/downside risk to our call would be any AI ASIC accelerator revenue ramp above/below our assumptions.

MTK: monthly revenue run rate



Source: Company

MTK: 4-quarter forward PER bands



Source: Company, TEJ, Daiwa estimates and forecasts

MTK: 2Q26 results preview and 3Q26 business outlook

TWDm	2Q26E			3Q26E		
	Daiwa	Consensus	Variance	Daiwa	Consensus	Variance
Revenue	145,255	144,920	0%	168,341	150,607	12%
Gross profit	68,179	66,843	2%	77,968	69,311	12%
Operating profit	22,569	21,041	7%	32,011	22,807	40%
Pretax profit	27,469			36,911		
Net profit	23,212	22,207	5%	31,190	23,588	32%
Adjusted EPS (TWD)	14.47	13.85	5%	19.45	14.71	32%
Margin						
Gross	46.9%	46.1%		46.3%	46.0%	
Operating	15.5%	14.5%		19.0%	15.1%	
Net	16.0%	15.3%		18.5%	15.7%	
Revenue mix*						
Mobile phone	48%			42%		
Smart edge	46%			52%		
Power IC	6%			6%		

Source: Bloomberg, Daiwa estimates and forecasts

Note: * Mobile phone includes smartphones and tablets, Smart edge includes IoT, computing & ASIC, digital TV/home, monitor & optical storage

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Disclosure of investment ratings

Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.

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Nanya Technology (2408 TT)

Share price (10 Jul): TWD435.50

12-mth rating: **Buy (1)**

Information Technology: Taiwan

2Q26 review: Intact solid earnings and positive outlook

SK Kim
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Summary: Nanya Technology (Nanya) announced its 2Q26 earnings after market hours on 10 July. Its revenue of TWD82.5bn (+68% QoQ, 684% YoY) and operating profit of TWD60.8bn (+102% QoQ, positive turnaround YoY) were in line with our estimates while outweighing the market consensus by 13% / 16%, respectively. While the DRAM shipment increase remained flat, ASP, which rose > 60%, drove the solid earnings. Management expects the price uptrend to persist through 3Q26, boosting the earnings further. In addition, they mentioned plans to allocate capacity toward DDR3/DDR4, where strong demand persists, to actively respond to customer demand. Though it did not announce a new shareholder return policy, the management expects to sustain a 40% level of dividend payout ratio.

Key highlights

- **2Q26 results review.** Nanya's 2Q26 revenue of TWD82.5bn (+68% QoQ, 684% YoY) and operating profit of TWD60.8bn (+102% QoQ, positive turnaround YoY) were in line with our estimates while outweighing the market consensus by 13% / 16%, respectively. Its rapid earnings growth was mainly driven by a sharp increase in ASP. Its DRAM ASP increased by over 60% QoQ in 2Q26, while its shipments remained flat QoQ. The DDR5 portion accounted for over 10% of 2Q26 revenue with a rising trend. Meanwhile, management also mentioned they will allocate capacity to DDR3/DDR4, where constrained supply continues to make the market attractive. Management guided for sustainable earnings growth in 3Q26 led by strong price increases.
- **Outlook for 3Q26 and cash management.** For 3Q26, management guided for ASP to increase further, sustaining the earnings improvement. While LTA customers' prices will remain stable, management expects the short-term contract ASP to rise more rapidly. Management noted that the 1H26 AI revenue portion accounted for 20% and expects to expand its sales for AI going forward, while also announcing plans to actively respond to non-AI and strong DDR3/DDR4 demand. Its DDR4/LPDDR4 combined portion accounted for c.70%, while DDR3 and DDR5 each held c.10%. For FY2026 capex, Nanya guided for TWD52bn, with wafer equipment accounting for 30%, while guiding to spend USD16bn (c.TWD514bn) for a new 45k/month capacity build-out with the first phase ramp of 30k/month targeted until 2028. Given TWD216.7bn (+151% QoQ) in retained cash by the end of 2Q26, Nanya guided to maintain a 40% level of payout ratio while considering its need for future growth capex.

Recommendation

We have a Buy (1) call on Nanya with a 12M TP of TWD650. We expect the robust 2Q26 earnings and positive earnings outlook to drive positive investor sentiment. Key risk: weaker-than-expected commodity DRAM demand due to delays in data centre build-outs.

To see our 2Q26 preview flash note on Nanya, please [click here](#)

Solid 2Q26 revenue: intact earnings momentum

- 2Q26 revenue exceeds Bloomberg consensus on DRAM price hikes
- Further earnings upside in 2H26E; DDR4 price momentum until 2027E
- Reaffirming our Buy (1) rating; raising 12-month TP to TWD 650

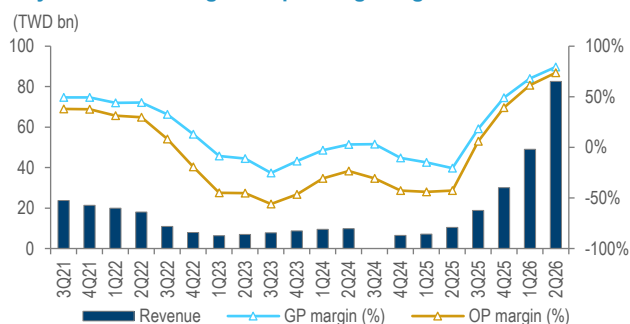
Nanya: 2Q26 results overview

(TWDm)	2Q26	1Q26	QoQ growth	2Q25	YoY growth	Daiwa estimates	Diff	BBG consensus	Diff
Revenue	82,549	49,087	68%	10,526	684%	82,549	0%	72,871	13%
Operating Profit	60,826	30,111	102%	-4,501	Positive turnaround	60,570	0%	52,272	16%
OP margin	73.7%	61.3%		-42.8%		73.4%		71.7%	

Source: Company, Bloomberg

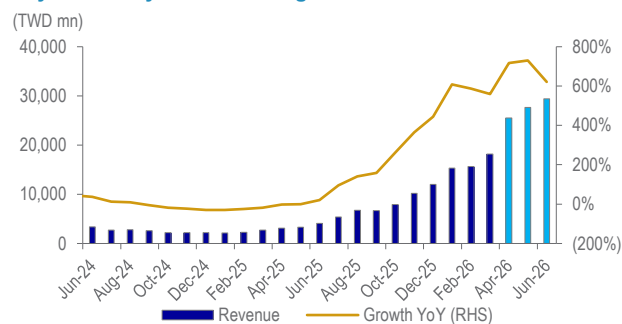
Note: Bloomberg standard consensus as of 10 July 2026

Nanya: revenue and gross/operating margin trend



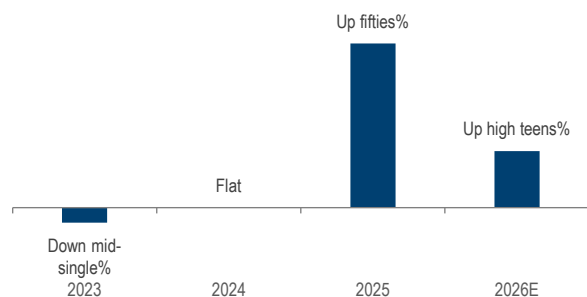
Source: Company

Nanya: monthly revenue and growth YoY trend



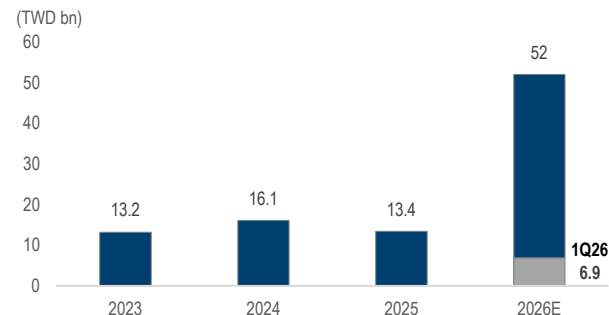
Source: Company

Nanya: bit shipment growth YoY trend



Source: Company

Nanya: annual capex trend



Source: Company

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Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.

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Nanya Technology

Solid 2Q26; further upside for 2H26

2Q26 results above consensus, again

Nanya Tech (NTC) reported strong 2Q26 revenue of NT\$82.5bn (+68% QoQ, +684% YoY) and EPS of NT\$14.66, in line with UBSe of NT\$80.8bn/NT\$14.32 and 15%/6% above pre-results Visible Alpha consensus of NT\$71.8bn/NT\$13.81. Given FX was flat QoQ, growth was driven almost entirely ASPs, which we believe increased by 68% QoQ (UBSe: +67%); while bit shipment was flat QoQ (UBSe: -3%) from a relatively high base in 1Q26. Profitability improved further QoQ, with gross/operating margins coming in at 80%/74% (from 68%/61% in 1Q26; UBSe was 79%/73%) even after accounting for sequentially higher employee bonuses and R&D expenses.

Pricing momentum continues; upside to capex

NTC management struck a positive tone on the 2H26 outlook, guiding for operational results to improve sequentially into 3Q26, and possibly again into 4Q26, amid supply tightness across all products. With the company's full-year 2026 bit growth guidance of "up mid-teens %" YoY implying bit shipments will be down YoY in 2H26 (we now estimate -8% QoQ in both 3Q26E and 4Q26E), we believe strong pricing momentum will likely remain the primary growth driver and now, in line with or latest industry checks ([link](#)), forecast NTC's ASPs to increase by 32% QoQ in 3Q26. In an environment where the ability of the top-three DRAM makers to allocate wafers to DDR4 remains limited, NTC indicated negotiations with customers for longer contracts – that extend beyond a quarter – are ongoing, beyond those announced with the private placement last quarter. Amid such unprecedented undersupply, NTC's efforts to bring the new fab online are progressing well, with equipment move in set to begin in 1Q27. With initial output by mid 2027, NTC expects the new fab to reach 30k wafer starts per month by 2028. NTC now expects to spend a total of US\$16bn in capex over the next several years on this new fab which, upon completion, is expected to add 45k wpm of incremental capacity.

Changes to forecasts

Reflecting 2Q26 results as well as our new bit shipment and ASP assumptions, we raise our 2026E/2027E revenue forecasts by 12%/10% to NT\$345bn/NT\$570bn (from NT\$308bn/NT\$518bn) and EPS forecasts by 18%/17% to NT\$62.35/NT\$103.66 (from NT\$52.84/NT\$88.63 previously). Our EPS forecasts now sit 18%/43% above pre-results Visible Alpha consensus.

Valuation: PT to NT\$555 from NT\$495; maintain Buy

Our price target rises to reflect our revised estimates. We value Nanya Tech shares at 3.01x NTM P/BV based on our LT ROE estimate of 25.5% and CoE of 8.5%.

Equities

Taiwan

Semiconductors

12-month rating

Buy

12m price target **NT\$555.00**

Prior : **NT\$495.00**

Price (09 Jul 2026) **NT\$435.50**

RIC: 2408.TW BBG: 2408 TT

Trading data and key metrics

52-wk range NT\$505.00-40.55

Market cap. NT\$1,349b/US\$41.9b

Shares o/s 3,099m (ORD)

Free float 37%

Avg. daily volume ('000) 125,613

Avg. daily value (m) NT\$40,946.1

Common s/h equity (12/26E) NT\$452b

P/BV (12/26E) 3.3x

Net debt to EBITDA (12/26E) NM

EPS (UBS, diluted) (NT\$)

	From	To	% ch	Cons.
12/26E	52.84	62.35	18	54.18
12/27E	88.63	103.66	17	74.74
12/28E	94.19	106.54	13	66.31

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Highlights (NT\$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	29,892	34,132	66,587	344,960	570,140	671,311	376,715	276,208
EBIT (UBS)	(14,460)	(10,555)	5,242	250,317	420,399	426,491	141,475	80,136
Net earnings (UBS)	(7,440)	(5,083)	6,612	211,777	357,650	367,576	139,319	88,905
EPS (UBS, diluted) (NT\$)	(2.40)	(1.64)	2.13	62.35	103.66	106.54	40.38	25.77
DPS (net) (NT\$)	0.00	0.00	1.50	24.94	25.92	26.63	10.10	6.44
Net (debt) / cash	47,631	36,638	49,018	283,382	366,285	520,862	557,683	553,944
Profitability/valuation	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
EBIT (UBS) margin %	(48.4)	(30.9)	7.9	72.6	73.7	63.5	37.6	29.0
ROIC (EBIT) %	(13.4)	(8.9)	4.4	179.8	163.5	103.2	29.4	15.6
EV/EBITDA (UBS core) x	>100	23.9	8.2	4.0	2.1	1.7	3.7	4.5
P/E (UBS, diluted) x	(27.9)	(34.4)	32.5	7.0	4.2	4.1	10.8	16.9
Equity FCF (UBS) yield %	(9.3)	(8.1)	2.5	11.6	12.5	18.1	9.5	2.3
Dividend yield (net) %	0.0	0.0	2.2	5.7	6.0	6.1	2.3	1.5

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of NT\$ 435.50 on 09-Jul-2026

UBS Research THESIS MAP a guide to our thinking and what’s where in this report

PIVOTAL QUESTIONS

Q: Will DRAM undersupply continue into 2028?

Yes in our view. Agentic AI is boosting further memory demand on multiple fronts beyond HBM, including DDR5/LPDDR5 for conventional servers and CPU head nodes in AI servers. We now forecast an acceleration of memory demand growth into 2027 with DRAM bit end-consumption growing 36% YoY vs 22% in 2026. As almost all of the incremental wafer capacity addition for DRAM is going to HBM, supply is not catching up with demand. The main risk remains affordability by customers as memory industry revenues are expected to reach US\$1.8tn in 2027E.

Q: Can NTC grow as a niche DRAM player?

Yes. 2026 and 2027 are likely to be years of more constrained growth. Subsequently though, we think its process tech migration to 1c nm and 1d nm will likely lead to a 30% increase in bits per wafer for each process tech migration (at comparable yields). NTC is also slightly pulling in its new fab ramp, with equipment expected to move in 1Q27 and initial output mid 2027. We also see a tail of DDR3 and DDR4 products NTC can address for a while.

UBSVIEW

Nanya Tech shares trade at 2.36x NTM P/BV, above +1SD of its 10-year average. That said, we believe the strength of the unfolding DRAM cycle as well as the tail of legacy products that Nanya can address as a niche player should provide support for the stock from here.

EVIDENCE

Our industry checks suggest HBM demand continues to result in capacity allocation away from DDR, which may moderate possible cyclical corrections, supporting upside to DDR contract pricing for longer.

WHAT’S PRICED IN?

At 2.85x NTM P/BV, we believe Nanya Tech shares are discounting a LT average ROE of 23.5% vs our LT estimate of 28.4%.



Value drivers	DRAM ASP '26E/'27E	OPM % '26E/'27E
NT\$660 upside	+350%/+70%	76%/78%
NT\$555 base	+332%/+61%	73%/74%
NT\$300 downside	+280%/+30%	64%/68%

Source: UBS estimates

COMPANY DESCRIPTION

Nanya Tech is a specialty DRAM supplier in Taiwan focusing on 20nm technology.

UBS FORECASTS

Figure 1: Nanya Tech – UBSe vs Consensus

(NT\$m)	3Q26E			4Q26E			2026E			2027E			2028E		
	UBSe	Cons	Delta	UBSe	Cons	Delta	UBSe	Cons	Delta	UBSe	Cons	Delta	UBSe	Cons	Delta
Sales	102,486	84,277	22%	110,838	88,759	25%	344,960	295,195	17%	570,140	422,495	35%	671,311	452,166	48%
Operating Profit	76,558	64,627	18%	82,831	67,035	24%	250,317	215,587	16%	420,399	301,996	39%	426,491	274,669	55%
% OP margin	74.7%	76.7%	-198bps	74.7%	75.5%	-79bps	72.6%	73.0%	-47bps	73.7%	71.5%	226bps	63.5%	60.7%	279bps
EPS (NT\$)	18.84	16.72	13%	20.45	17.68	16%	62.35	52.74	18%	103.66	72.69	43%	106.54	66.65	60%

Source: Visible Alpha, UBS estimates

Figure 2: Nanya Tech – New vs Old

(Won bn)	3Q26E			4Q26E			2026E			2027E			2028E		
	New	Old	Delta	New	Old	Delta	New	Old	Delta	New	Old	Delta	New	Old	Delta
Sales	102,486	87,557	17%	110,838	90,879	22%	344,960	308,353	12%	570,140	517,651	10%	671,311	605,531	11%
Operating Profit	76,558	62,069	23%	82,831	61,615	34%	250,317	212,825	18%	420,399	362,597	16%	426,491	378,213	13%
% OP margin	74.7%	70.9%	381bps	74.7%	67.8%	693bps	72.6%	69.0%	354bps	73.7%	70.0%	369bps	63.5%	62.5%	107bps
EPS	18.84	15.06	25%	20.45	15.06	36%	62.35	52.84	18%	103.66	88.63	17%	106.54	94.19	13%

Source: UBS estimates

Figure 3: Nanya Tech – DRAM forecasts

	2025	1Q26	2Q26E	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E	2028E	2029E	2030E
DRAM revenues (NT\$m)	66,587	49,087	82,549	102,486	110,838	344,960	124,291	130,870	146,564	168,414	570,140	671,311	376,715	276,208
% QoQ		63%	68%	24%	8%		12%	5%	12%	15%				
% YoY		95%	583%	684%	446%	418%	153%	59%	43%	52%	65%	18%	-44%	-27%
DRAM revenues (US\$m)	2,158	1,579	2,647	3,202	3,443	10,871	3,861	4,065	4,553	5,232	17,711	20,853	11,702	8,580
% QoQ		62%	68%	21%	8%		12%	5%	12%	15%				
% YoY		97%	623%	677%	412%	404%	144%	54%	42%	52%	63%	18%	-44%	-27%
DRAM unit shipment (1Gb eq)	4,643	1,441	1,438	1,322	1,210	5,410	1,244	1,261	1,379	1,602	5,485	7,998	10,351	12,410
% QoQ		-6%	0%	-8%	-8%		3%	1%	9%	16%				
% YoY		54%	123%	32%	-4%	-21%	-14%	-12%	4%	32%	1%	46%	29%	20%
DRAM ASP (US\$ 1Gb eq)	0.46	1.10	1.84	2.42	2.85	2.01	3.10	3.22	3.30	3.27	3.23	2.61	1.13	0.69
% QoQ		73%	68%	32%	17%		9%	4%	2%	-1%				
% YoY		28%	224%	487%	432%	349%	183%	75%	36%	15%	61%	-19%	-57%	-39%
Operating Profit (NT\$m)	5,242	30,102	60,826	76,558	82,831	250,317	92,808	97,262	108,030	122,299	420,399	426,491	141,475	80,136
% OP margin	7.9%	61.3%	73.7%	74.7%	74.7%	72.6%	74.7%	74.3%	73.7%	72.6%	73.7%	63.5%	37.6%	29.0%

Source: UBS estimates

Figure 4: Nanya Tech – Income Statement forecasts

(NT\$m)	2025	1Q26	2Q26E	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E	2028E	2029E	2030E
Revenues	66,587	49,087	82,549	102,486	110,838	344,960	124,291	130,870	146,564	168,414	570,140	671,311	376,715	276,208
% QoQ		63%	68%	24%	8%		12%	5%	12%	15%				
% YoY		95%	583%	684%	446%	418%	153%	59%	43%	52%	65%	18%	-44%	-27%
COGS	51,600	15,761	16,930	20,166	21,730	74,587	23,758	24,917	28,876	35,492	113,042	194,601	190,815	165,811
Gross Profit	14,986	33,325	65,619	82,320	89,109	270,373	100,534	105,954	117,688	132,923	457,098	476,711	185,900	110,396
% GP margin	22.5%	67.9%	79.5%	80.3%	80.4%	78.4%	80.9%	81.0%	80.3%	78.9%	80.2%	71.0%	49.3%	40.0%
Operating Expenses	9,745	3,224	4,793	5,762	6,277	20,056	7,726	8,692	9,658	10,623	36,699	50,220	44,425	30,260
R&D	7,043	2,118	3,230	3,330	3,530	12,208	3,730	3,830	3,830	3,730	15,120	16,120	17,320	18,120
SG&A	2,702	1,105	1,563	2,432	2,747	7,847	3,996	4,862	5,828	6,893	21,579	34,100	27,105	12,140
Opex as % of revenues	14.6%	6.6%	5.8%	5.6%	5.7%	5.8%	6.2%	6.6%	6.6%	6.3%	6.4%	7.5%	11.8%	11.0%
Operating Profit	5,242	30,102	60,826	76,558	82,831	250,317	92,808	97,262	108,030	122,299	420,399	426,491	141,475	80,136
% OP margin	7.9%	61.3%	73.7%	74.7%	74.7%	72.6%	74.7%	74.3%	73.7%	72.6%	73.7%	63.5%	37.6%	29.0%
Non-Operating Income	2,641	1,616	1,504	2,694	3,195	9,009	3,781	4,188	3,622	4,168	15,760	21,772	28,427	28,285
Investment Income	417	239	239	239	239	955	239	239	239	239	955	955	955	955
Interest Income	1,907	527	1,029	2,456	2,956	6,967	3,542	3,950	3,383	3,929	14,805	20,818	27,472	27,330
Others	316	851	237	0	0	1,087	0	0	0	0	(0)	0	0	0
Earnings Before Tax	7,882	31,718	62,330	79,252	86,026	259,326	96,589	101,450	111,652	126,467	436,159	448,264	169,902	108,421
Tax Expenses	1,269	5,660	12,138	14,265	15,485	47,548	17,386	18,261	20,097	22,764	78,509	80,687	30,582	19,516
% Tax rate	16.1%	17.8%	19.5%	18.0%	18.0%	18.3%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%
Earnings After Tax	6,613	26,058	50,192	64,987	70,541	211,778	79,203	83,189	91,555	103,703	357,650	367,576	139,319	88,905
Minority Interest	(1)	(1)	0	0	0	(1)	0	0	0	0	0	0	0	0
Net Profit After MI	6,614	26,059	50,192	64,987	70,541	211,779	79,203	83,189	91,555	103,703	357,650	367,576	139,319	88,905
EPS	2.13	8.41	14.66	18.84	20.45	62.35	22.96	24.11	26.54	30.06	103.66	106.54	40.38	25.77

Source: Company data, UBS estimates

Figure 5: Nanya Tech – Balance Sheet forecasts

(Won bn)	2025	1Q26	2Q26E	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E	2028E	2029E	2030E
Cash and Cash Equivalents	58,074	86,281	200,451	240,462	287,379	287,379	319,979	274,664	318,353	370,281	370,281	524,859	561,680	557,940
Accounts Receivable	16,558	25,247	45,232	50,541	54,660	54,660	61,294	64,539	72,278	83,054	83,054	88,722	35,633	45,567
Inventories	27,288	24,331	11,132	13,260	14,288	14,288	15,621	16,384	18,987	23,337	23,337	38,863	30,227	25,966
Other Current Assets	6,621	5,748	5,748	5,748	5,748	5,748	5,748	5,748	5,748	5,748	5,748	5,748	5,748	5,748
Total Current Assets	108,541	141,607	262,563	310,011	362,075	362,075	402,643	361,335	415,367	482,420	482,420	658,192	633,288	635,221
Tangible Assets	85,031	87,349	88,425	107,280	126,115	126,115	164,551	202,988	241,424	279,861	279,861	388,914	456,245	505,756
Intangible Assets	531	500	511	701	891	891	1,280	1,668	2,056	2,444	2,444	3,546	4,226	4,726
Investments	5,904	6,111	6,111	6,111	6,111	6,111	6,111	6,111	6,111	6,111	6,111	6,111	6,111	6,111
Other Non-Current Assets	8,446	5,401	5,401	5,401	5,401	5,401	5,401	5,401	5,401	5,401	5,401	5,401	5,401	5,401
Total Non-Current Assets	99,912	99,361	100,447	119,493	138,518	138,518	177,343	216,168	254,992	293,817	293,817	403,972	471,983	521,994
Total Assets	208,453	240,968	363,011	429,503	500,593	500,593	579,986	577,502	670,359	776,237	776,237	1,062,164	1,105,271	1,157,216
Account Payables	6,481	7,298	5,566	7,072	7,620	7,620	7,811	8,192	9,494	11,668	11,668	19,432	15,113	12,983
ST Debts	5,060	0	0	0	0	0	0	0	0	0	0	0	0	0
Other Current Liabilities	7,480	17,910	17,910	17,910	17,910	17,910	17,910	17,910	17,910	17,910	17,910	17,910	17,910	17,910
Current Liabilities	19,020	25,207	23,476	24,982	25,530	25,530	25,720	26,101	27,403	29,578	29,578	37,341	33,023	30,892
LT Liabilities	3,996	3,996	3,996	3,996	3,996	3,996	3,996	3,996	3,996	3,996	3,996	3,996	3,996	3,996
Other Non-Current Liabilities	35	83	83	83	83	83	83	83	83	83	83	83	83	83
Non-Current Liabilities	18,894	22,724	22,724	22,724	22,724	22,724	22,724	22,724	22,724	22,724	22,724	22,724	22,724	22,724
Total Liabilities	37,914	47,931	46,199	47,705	48,253	48,253	48,444	48,825	50,127	52,302	52,302	60,065	55,747	53,616
Total Shareholders' Equity	170,538	193,037	316,811	381,798	452,339	452,339	531,542	528,677	620,232	723,936	723,936	1,002,099	1,049,524	1,103,599

Source: Company data, UBS estimates

Figure 6: Nanya Tech – Cash Flow Statement forecasts

(Won bn)	2025	1Q26	2Q26E	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E	2028E	2029E	2030E
Net Profit	6,614	26,059	50,192	64,987	70,541	211,779	79,203	83,189	91,555	103,703	357,650	367,576	139,319	88,905
Depreciation and Amortization	14,281	2,897	2,960	3,495	3,515	12,868	9,463	9,463	9,463	9,463	37,853	58,853	76,853	94,853
Changes in Assets and Liabilities	(3,610)	(6,911)	(8,518)	(5,931)	(4,599)	(25,958)	(7,778)	(3,625)	(9,041)	(12,950)	(33,395)	(13,431)	57,407	(7,803)
Changes in A/R	(12,259)	(8,414)	(19,985)	(5,309)	(4,119)	(37,826)	(6,634)	(3,244)	(7,739)	(10,775)	(28,394)	(5,668)	53,089	(9,934)
Changes in Inventories	8,031	2,957	13,199	(2,128)	(1,028)	13,000	(1,334)	(762)	(2,604)	(4,350)	(9,049)	(15,526)	8,636	4,261
Changes in A/P	618	(1,454)	(1,732)	1,506	548	(1,131)	191	381	1,302	2,175	4,048	7,763	(4,318)	(2,130)
Others	1,284	9,503	0	0	0	9,503	0	0	0	0	0	(0)	(0)	(0)
Cash Flow from Operations	18,568	31,549	44,634	62,552	69,458	208,192	80,888	89,027	91,977	100,216	362,109	412,998	273,579	175,954
Capital Expenditures	(13,245)	(2,851)	(4,046)	(22,541)	(22,541)	(51,978)	(48,288)	(48,288)	(48,288)	(48,288)	(193,152)	(169,008)	(144,864)	(144,864)
Others	(865)	37	0	0	0	37	0	0	0	0	0	0	0	0
NOCF	5,324	28,698	40,588	40,011	46,917	156,214	32,600	40,739	43,689	51,928	168,957	243,990	128,715	31,090
Cash Flow from Investments	(14,110)	(2,814)	(4,046)	(22,541)	(22,541)	(51,942)	(48,288)	(48,288)	(48,288)	(48,288)	(193,152)	(169,008)	(144,864)	(144,864)
Dividend	0	0	(5,135)	0	0	(5,135)	0	(86,054)	0	0	(86,054)	(89,413)	(91,894)	(34,830)
Other	(6,317)	(1,547)	78,717	0	0	77,170	0	0	0	0	0	0	0	0
Cash Flow from Financing	(6,317)	(1,547)	73,582	0	0	72,035	0	(86,054)	0	0	(86,054)	(89,413)	(91,894)	(34,830)
Cash Flow from Others	(1,970)	1,019	0	0	0	1,019	0	0	0	0	0	0	0	0
Total Cash flow	(3,829)	28,207	114,170	40,011	46,917	229,305	32,600	(45,315)	43,689	51,928	82,903	154,577	36,821	(3,740)

Source: Company data, UBS estimates

Figure 7: Nanya Tech – UBS valuation

UBS price target (NT\$)	555.00					
Current stock price (NT\$)	435.50					
Number of shares (mil)	3,423					
Market cap (NT\$m)	1,490,717					
Net debt (NT\$m)	(196,455)					
EV (NT\$m)	1,294,262					
	2025	2026E	2027E	2028E	2029E	2030E
Current valuation (x)						
EV/Revenues	19.44	3.75	2.27	1.93	3.44	4.69
P/Book	7.91	3.27	2.08	1.50	1.43	1.36
P/E	204.04	6.98	4.20	4.09	10.79	16.90
EV/EBITDA	66.30	4.92	2.82	2.67	5.93	7.40
Target price valuation (x)						
EV/Revenues	25.58	4.94	2.99	2.54	4.52	6.17
P/Book	10.08	4.17	2.65	1.91	1.82	1.74
P/E	260.02	8.90	5.35	5.21	13.74	5.21
EV/EBITDA	87.25	6.47	3.72	3.51	7.80	9.73
Other						
EPS	2.13	62.35	103.66	106.54	40.38	25.77
% ROE	3.9%	68.0%	60.8%	42.6%	13.6%	8.3%
Book value per share (NT\$)	55.04	133.18	209.82	290.45	304.19	319.87
Cash per share (NT\$)	18.74	84.61	107.32	152.12	162.80	161.71
Free cash flow per share (NT\$)	1.44	46.00	48.97	70.72	37.31	9.01
% Free cash flow yield	0.3%	10.6%	11.2%	16.2%	8.6%	2.1%

Source: Company data, UBS estimates. Priced as of 9 July 2026.

Nanya Technology (2408.TW)

	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Income Statement (NT\$m)										
Revenues	29,892	34,132	66,587	344,960	<i>NM</i>	570,140	<i>65.3</i>	671,311	376,715	276,208
Gross profit	(4,483)	(421)	14,986	270,373	<i>NM</i>	457,098	<i>69.1</i>	476,711	185,900	110,396
EBITDA (UBS)	865	5,589	19,523	263,185	<i>NM</i>	458,252	<i>74.1</i>	485,344	218,328	174,989
Depreciation & amortisation	(15,326)	(16,144)	(14,281)	(12,868)	<i>9.9</i>	(37,853)	<i>-194.2</i>	(58,853)	(76,853)	(94,853)
EBIT (UBS)	(14,460)	(10,555)	5,242	250,317	<i>NM</i>	420,399	<i>67.9</i>	426,491	141,475	80,136
Associates & investment income	193	101	417	955	<i>128.7</i>	955	<i>0.0</i>	955	955	955
Other non-operating income	549	923	316	1,087	<i>243.6</i>	0	<i>-</i>	0	0	0
Net interest	3,014	2,974	1,907	6,967	<i>265.4</i>	14,805	<i>112.5</i>	20,818	27,472	27,330
Exceptionals (incl goodwill)	0	0	0	0	<i>-</i>	0	<i>-</i>	0	0	0
Pre-tax profit	(10,705)	(6,557)	7,882	259,326	<i>NM</i>	436,159	<i>68.2</i>	448,264	169,902	108,421
Tax	3,265	1,474	(1,269)	(47,548)	<i>NM</i>	(78,509)	<i>-65.1</i>	(80,687)	(30,582)	(19,516)
Profit after tax	(7,440)	(5,083)	6,613	211,778	<i>NM</i>	357,650	<i>68.9</i>	367,576	139,319	88,905
Preference dividends	0	0	0	0	<i>-</i>	0	<i>-</i>	0	0	0
Minorities	0	0	(1)	(1)	<i>-21.4</i>	0	<i>-</i>	0	0	0
Extraordinary items	0	0	0	0	<i>-</i>	0	<i>-</i>	0	0	0
Net earnings (local GAAP)	(7,440)	(5,083)	6,612	211,777	<i>NM</i>	357,650	<i>68.9</i>	367,576	139,319	88,905
Net earnings (UBS)	(7,440)	(5,083)	6,612	211,777	<i>NM</i>	357,650	<i>68.9</i>	367,576	139,319	88,905
Tax rate (%)	0.0	0.0	16.1	18.3	<i>13.9</i>	18.0	<i>-1.8</i>	18.0	18.0	18.0
Per Share (NT\$)										
EPS (UBS, diluted)	(2.40)	(1.64)	2.13	62.35	<i>NM</i>	103.66	<i>66.2</i>	106.54	40.38	25.77
EPS (local GAAP, diluted)	(2.40)	(1.64)	2.13	62.35	<i>NM</i>	103.66	<i>66.2</i>	106.54	40.38	25.77
EPS (UBS, basic)	(2.40)	(1.64)	2.13	62.35	<i>NM</i>	103.66	<i>66.2</i>	106.54	40.38	25.77
DPS (net) (NT\$)	0.00	0.00	1.50	24.94	<i>NM</i>	25.92	<i>3.9</i>	26.63	10.10	6.44
Cash EPS (UBS, diluted) ¹	2.55	3.57	6.74	66.14	<i>NM</i>	114.63	<i>73.3</i>	123.60	62.66	53.26
Book value per share	53.98	53.37	55.04	133.18	<i>142.0</i>	209.82	<i>57.5</i>	290.45	304.19	319.87
Average shares (diluted)	3,098	3,099	3,099	3,396	<i>9.6</i>	3,450	<i>1.6</i>	3,450	3,450	3,450
Balance Sheet (NT\$m)										
Cash and equivalents	58,812	61,903	58,074	287,379	<i>394.8</i>	370,281	<i>28.8</i>	524,859	561,680	557,940
Other current assets	37,698	46,043	50,467	74,696	<i>48.0</i>	112,139	<i>50.1</i>	133,333	71,608	77,281
Total current assets	96,510	107,946	108,541	362,075	<i>233.6</i>	482,420	<i>33.2</i>	658,192	633,288	635,221
Net tangible fixed assets	81,838	84,327	85,031	126,115	<i>48.3</i>	279,861	<i>121.9</i>	388,914	456,245	505,756
Net intangible fixed assets	927	688	531	891	<i>67.8</i>	2,444	<i>174.2</i>	3,546	4,226	4,726
Investments / other assets	13,076	13,745	14,349	11,512	<i>-19.8</i>	11,512	<i>0.0</i>	11,512	11,512	11,512
Total assets	192,351	206,706	208,453	500,593	<i>140.1</i>	776,237	<i>55.1</i>	1,062,164	1,105,271	1,157,216
Trade payables & other ST liabilities	8,937	11,510	13,960	25,530	<i>82.9</i>	29,578	<i>15.9</i>	37,341	33,023	30,892
Short term debt	11,181	21,270	5,060	0	<i>-</i>	0	<i>-</i>	0	0	0
Total current liabilities	20,118	32,780	19,020	25,530	<i>34.2</i>	29,578	<i>15.9</i>	37,341	33,023	30,892
Long term debt	0	3,995	3,996	3,996	<i>0.0</i>	3,996	<i>0.0</i>	3,996	3,996	3,996
Other long term liabilities	5,309	4,878	14,898	18,727	<i>25.7</i>	18,727	<i>0.0</i>	18,727	18,727	18,727
Preferred shares	0	0	0	0	<i>-</i>	0	<i>-</i>	0	0	0
Total liabilities (incl pref shares)	25,427	41,653	37,914	48,253	<i>27.3</i>	52,302	<i>8.4</i>	60,065	55,747	53,616
Common s/h equity	166,924	165,053	170,538	452,339	<i>165.2</i>	723,936	<i>60.0</i>	1,002,099	1,049,524	1,103,599
Minority interests	0	0	0	0	<i>-</i>	0	<i>-</i>	0	0	0
Total liabilities & equity	192,351	206,706	208,453	500,593	<i>140.1</i>	776,237	<i>55.1</i>	1,062,164	1,105,271	1,157,216
Cash Flow (NT\$m)										
Net income (before pref divs)	(7,440)	(5,083)	6,612	211,777	<i>NM</i>	357,650	<i>68.9</i>	367,576	139,319	88,905
Depreciation & amortisation	15,326	16,144	14,281	12,868	<i>-9.9</i>	37,853	<i>194.2</i>	58,853	76,853	94,853
Net change in working capital	(5,679)	(6,705)	(3,610)	(25,958)	<i>NM</i>	(33,395)	<i>-28.6</i>	(13,431)	57,407	(7,803)
Other operating	(8,303)	(2,404)	1,284	9,503	<i>NM</i>	0	<i>-</i>	0	0	0
Operating cash flow	(6,095)	1,952	18,566	208,189	<i>NM</i>	362,109	<i>73.9</i>	412,998	273,579	175,954
Tangible capital expenditure	(13,112)	(15,981)	(13,112)	(51,459)	<i>-292.5</i>	(191,220)	<i>-271.6</i>	(167,318)	(143,415)	(143,415)
Intangible capital expenditure	(132)	(161)	(132)	(520)	<i>-292.5</i>	(1,932)	<i>-271.6</i>	(1,690)	(1,449)	(1,449)
Net (acquisitions) & disposals	0	0	0	0	<i>-</i>	0	<i>-</i>	0	0	0
Other investing	459	(45)	(865)	37	<i>-</i>	0	<i>-</i>	0	0	0
Investing cash flow	(12,786)	(16,188)	(14,110)	(51,942)	<i>-268.1</i>	(193,152)	<i>-271.9</i>	(169,008)	(144,864)	(144,864)
Equity dividends paid	(6,600)	0	0	(5,135)	<i>-</i>	(86,054)	<i>NM</i>	(89,413)	(91,894)	(34,830)
Share issues / (buybacks)	0	0	0	0	<i>-</i>	0	<i>-</i>	0	0	0
Other financing	(596)	4,051	(97)	78,448	<i>-</i>	0	<i>-</i>	0	0	0
Change in debt & pref shares	11,392	9,656	(6,221)	(1,278)	<i>79.5</i>	0	<i>-</i>	0	0	0
Financing cash flow	4,196	13,707	(6,317)	72,035	<i>-</i>	(86,054)	<i>-</i>	(89,413)	(91,894)	(34,830)
Cash flow inc/(dec) in cash	(14,685)	(529)	(1,860)	228,283	<i>-</i>	82,903	<i>-63.7</i>	154,577	36,821	(3,740)
FX / non cash items	(96)	3,619	(1,968)	1,021	<i>-</i>	0	<i>-100.0</i>	0	0	0
Balance sheet inc/(dec) in cash	(14,781)	3,091	(3,829)	229,305	<i>-</i>	82,903	<i>-63.8</i>	154,577	36,821	(3,740)

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.¹ Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Nanya Technology (2408.TW)

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	NM	NM	32.5	7.0	4.2	4.1	10.8	16.9
P/E (UBS, diluted)	(27.9)	(34.4)	32.5	7.0	4.2	4.1	10.8	16.9
P/CEPS	26.3	15.8	10.3	6.6	3.8	3.5	7.0	8.2
Equity FCF (UBS) yield %	(9.3)	(8.1)	2.5	11.6	12.5	18.1	9.5	2.3
Dividend yield (net) %	0.0	0.0	2.2	5.7	6.0	6.1	2.3	1.5
P/BV	1.2	1.1	1.3	3.3	2.1	1.5	1.4	1.4
EV/revenues (core)	5.2	3.9	2.4	3.1	1.7	1.2	2.1	2.9
EV/EBITDA (UBS core)	>100	23.9	8.2	4.0	2.1	1.7	3.7	4.5
EV/EBIT (core)	NM	NM	30.4	4.2	2.3	1.9	5.7	9.8
EV/OpFCF (core)	NM	NM	24.9	5.0	3.7	2.6	10.7	24.9
EV/op. invested capital	1.4	1.1	1.3	7.6	3.8	2.0	1.7	1.5
Enterprise value (NT\$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	207,317	174,677	214,287	1,349,452	1,349,452	1,349,452	1,349,452	1,349,452
Net debt (cash)	(47,631)	(36,638)	(49,018)	(283,382)	(366,285)	(520,862)	(539,273)	(555,814)
Buy out of minorities	0	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	159,686	138,039	165,268	1,066,070	983,168	828,590	810,180	793,639
Non core assets	(5,120)	(4,645)	(5,904)	(6,111)	(6,111)	(6,111)	(6,111)	(6,111)
Core enterprise value	154,566	133,394	159,365	1,059,959	977,057	822,479	804,069	787,528
Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	(47.5)	14.2	95.1	NM	65.3	17.7	(43.9)	(26.7)
EBITDA (UBS)	(96.7)	NM	NM	NM	74.1	5.9	(55.0)	(19.9)
EBIT (UBS)	-	27.0	-	NM	67.9	1.4	(66.8)	(43.4)
EPS (UBS, diluted)	-	31.7	-	NM	66.2	2.8	(62.1)	(36.2)
Net DPS	-	-	-	NM	3.9	2.8	(62.1)	(36.2)
Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	NM	NM	22.5	NM	NM	71.0	49.3	40.0
EBITDA margin	2.9	16.4	29.3	NM	NM	72.3	58.0	63.4
EBIT (UBS) margin	(48.4)	(30.9)	7.9	72.6	73.7	63.5	37.6	29.0
Net earnings (UBS) margin	NM	NM	9.9	61.4	62.7	54.8	37.0	32.2
ROIC (EBIT)	NM	NM	4.4	NM	NM	NM	29.4	15.6
ROIC post tax	NM	NM	3.7	NM	NM	NM	24.1	12.8
ROE (UBS)	(4.3)	(3.1)	3.9	68.0	60.8	42.6	13.6	8.3
Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	(55.0)	(6.6)	(2.5)	(1.1)	(0.8)	(1.1)	(2.6)	(3.2)
Net debt / total equity %	(28.5)	(22.2)	(28.7)	(62.6)	(50.6)	(52.0)	(53.1)	(50.2)
Net debt / (net debt + total equity) %	(39.9)	(28.5)	(40.3)	NM	NM	NM	NM	NM
Net debt/EV %	(38.0)	(30.5)	(25.9)	(15.6)	(33.0)	(53.5)	(66.6)	(70.0)
Capex / depreciation %	86.4	100.0	92.7	NM	NM	NM	188.5	152.7
Capex / revenue %	NM	NM	19.7	14.9	NM	24.9	NM	NM
EBIT / net interest	-	-	-	-	-	-	-	-
Dividend cover (UBS)	-	-	1.4	2.5	4.0	4.0	4.0	4.0
Div. payout ratio (UBS) %	-	-	70.3	40.0	25.0	25.0	25.0	25.0
Revenues by division (NT\$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	29,892	34,132	66,587	344,960	570,140	671,311	376,715	276,208
Total	29,892	34,132	66,587	344,960	570,140	671,311	376,715	276,208
EBIT (UBS) by division (NT\$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	(14,460)	(10,555)	5,242	250,317	420,399	426,491	141,475	80,136
Total	(14,460)	(10,555)	5,242	250,317	420,399	426,491	141,475	80,136

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	27.4%
Forecast dividend yield	5.7%
Forecast stock return	33.2%
Market return assumption	6.3%
Forecast excess return	26.9%

Company Description

Nanya Tech is a pure DRAM company based in Taiwan, focusing on legacy products for consumers, broad-based applications and is now growing in servers.

Valuation Method and Risk Statement

Nanya Tech is a pure-play DRAM manufacturer based in Taiwan mainly focused on legacy DDR products for customers across various end applications. We think downside risks to our thesis could include a potential slowdown in end demand and hence the conventional memory cycle as well as Nanya's legacy-centric product portfolio. We value Nanya Tech shares using a target NTM P/BV multiple based on long-term average ROE and cost of equity.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at <https://neo.ubs.com/quantitative>, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Nanya Technology

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	Positive Catalyst
9. Is there an actual or approximate date for the catalyst?	August 14, 2026
10. Is the catalyst date an actual or approximate date?	Approximate
11. What is the catalyst?	Further upside to DDR pricing

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12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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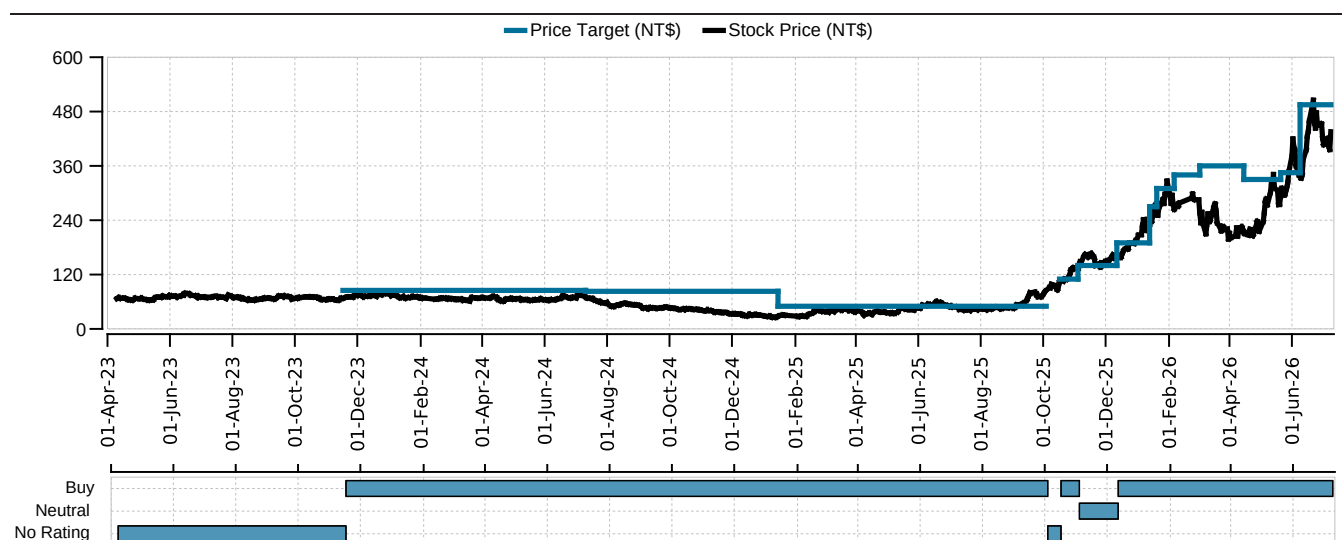
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Company Name	Reuters	12-month rating	Price	Price date
Nanya Technology	2408.TW	Buy	NT\$435.50	09 Jul 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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Nanya Technology (NT\$)



Date	Stock Price (NT\$)	Price Target (NT\$)	Rating
2023-04-07	68.60	-	No Rating
2023-11-16	67.20	85.00	Buy
2024-07-10	72.30	83.00	Buy
2025-01-14	26.65	50.00	Buy
2025-10-03	83.00	-	No Rating
2025-10-16	94.90	110.00	Buy
2025-11-03	137.00	140.00	Neutral
2025-12-11	156.00	190.00	Buy
2026-01-12	239.00	270.00	Buy
2026-01-19	275.00	310.00	Buy
2026-02-05	275.00	340.00	Buy
2026-03-02	285.00	360.00	Buy
2026-04-14	220.00	330.00	Buy
2026-05-20	275.00	345.00	Buy
2026-06-08	339.50	495.00	Buy

Source: UBS Global Research; LSEG Eikon as of 09-Jul-2026. All prices as of local market close. Ratings as of date shown.

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